

Barclays PLC Q325 Results**Results call Q&A transcript (amended in places to improve accuracy and readability)****C.S. Venkatakrishnan, Barclays Group Chief Executive****Anna Cross, Barclays Group Financial Director****Guy Stebbings, BNP Exane**

Hi, morning Venkat, morning Anna. Thanks for taking the questions. The first one was on the US Consumer [Bank] top line. Clearly very strong up 20% year over year, both non-interest income and then the NIM moving up to 11.5%. Just helpful to understand if there's anything particularly lumpy in there.

So, I guess firstly, just to confirm that we should be thinking about growth off that 11.5% NIM base, given the sort of ongoing lending mix actions you've talked to and growth in retail deposit base.

And then within that £215 million of non-interest income in Q3, anything lumpy in there, you would point to, to temper us away from analysing north of £800 million before thinking about things like gains on sales or portfolios next year.

And then the second question was just on UK Mortgages. From a volume perspective, very strong both net and gross lending. Nearly £10 billion in gross lending is certainly above typical run rates. I'm just interested if that's the level you think you will continue to write at. And then from a sort of competitive perspective, what you're seeing in the market. I know the actions you're taking, and Kensington offers quite a bit of insulation, but are you seeing any competitive pressures on new lending spreads when you look at like for like lending? Thank you.

Anna Cross

Okay, thanks Guy. I'll take both of those and thanks for opening the call for us. And just on the US Consumer [Bank] top line, I think what you're seeing coming together now is a real combination of all of the operational actions that we've been undertaking over the last few quarters. And you can see that on a new slide on Slide 24.

Because it's drawn from those operational actions, we do have confidence in its sustainability. Really what's driving the NIM is the things that we've talked about before. So, it's the repricing, which remember takes some time to work its way through into the NIM because customers need

to draw down on those new terms and conditions. It's also the increase in the level of retail deposits, and retail deposits are about 50 basis points to 60 basis points cheaper than the other sources of funding we've had previously. And then thirdly, there is this increasing proportion of retail balances, which are higher NIM. So I expect over the next couple of quarters, Q4 and Q1 to be broadly at the level of NIM that we're currently running at, around 11.5%. I'm not going to guide you to Q2 and beyond, because obviously, once we exit the American Airlines portfolio, that NIM is going to jump up again. So, I will guide you to that a little nearer the time.

In terms of non-interest income, there's a couple of things going on in there. The first is obviously the increase in volume that we're seeing, not just from General Motors, but also the organic growth in this business. So, if you go back to the equivalent quarter just before the start of the plan, we've grown 13% since then.

So, you're seeing that coming through in non-NII and you're also seeing some improvement in partner sharing agreements, just reflected in that number. So, we do have confidence in the momentum in the income line. I just remind you that this is a seasonal business and you get that seasonality in NII because of balances, but you also get it in non-interest income. But yes, we're pleased with that progress.

In UK mortgages, the UK mortgage market is robust, and we see that across the piece. We see it in house purchase; first-time buyers are up 11% year on year. We're seeing strong levels of refinancing, and the margins in Barclays, if you like, in the more vanilla book, have been broadly stable over the last few quarters. Obviously, we're seeing a margin benefit coming through from Kensington, which is 3x to 4x higher.

And really what you're seeing here is our capabilities reaching the marketplace. And by that, what I mean is both the product breadth, because we now got Kensington in play, but also the operational capabilities because we launched a new broker platform, which is working extremely well.

The only thing I'd call out for you is we're about to enter a period, market-wide, it's not a Barclays thing, where we've got coming to maturity the five-year business that was written during the stamp duty holiday in FY20 and FY21. That's at relatively wide margins, so you're going to see a little bit of churn compression come through on that, but of course, we've captured that in the guidance that we've already given you around NII progression for BUK.

Thank you, next question please.

Jason Napier, UBS

Good morning. Thank you for taking my questions.

The first one, just looking at competitive conditions in US Investment Banking, we've had some of the peers talk about potentially very significant levels of additional capital that's available for deployment following some of the deregulation and stress test changes. And Prime appears to be one of the places that they may be looking to allocate additional capacity. So, given it's a focus for the bank, could you just talk about whether you think you have additional capital to deploy given the changes in things like stress tests and what you're seeing on product margins and that sort of thing?

And then secondly, on the non-bank financial intermediary (NBFII) space, thank you for the additional disclosures. Those are really welcome and it's good to see the impairment charge at a group level below consensus today.

Venkat, I wonder whether you could talk a little bit about risks in that industry, how mature the exposures are, whether there are any vintages we should be bothered about. We could observe that the cases we've seen so far all involve fraud, but we have seen very strong growth in the industry writ large. And so, I wonder with your risk management hat on, whether you could just talk about, whether this is an industry that has yet to grind into fully mature loss run rates and how you think about that sort of thing. Thank you.

C.S. Venkatakrishnan

All right. Thank you Jason for both questions. On the first one on capital regulation or disparity, potential disparity in capital regulation between Europe, the UK and the US. Look, it is, I think, an important factor in the industry. We haven't seen ultimately what will be the changes in the US and how much the UK, which is the important jurisdiction for us as a home regulator, makes itself consistent or not.

I think what I would point out on things like Prime is, we've got a good and strong market share. We work with a few important and big clients carefully. It is as much a balance sheet business as it is a capital business. And so, we think we've got the wherewithal, and given our current market position, given our product capability, given our client penetration, we've got the wherewithal to compete effectively and continue to compete effectively. Of course, it's all subject to capital rules. We'll have to see where they are, but I'm pretty confident in the strength of that business and how we will adapt overall in the Investment Bank, because ultimately, it's about that.

Coming back to private credit and NBFIs, so here's what I will say. First of all, I view credit as credit as credit, right? There's a distinction about where it's originated from, and you know, private credit, generally, we at least think of it as the kind of credit that's originated outside of banks and outside of the public debt market.

But I think of lending as lending, and through the cycle, you've got to be careful about all the aspects of lending. Client selection, sector concentrations, NIM concentrations, terms, and continuous monitoring, qualifying them initially and monitoring it over the time period. So that's important, and that you've got to do through the period.

I'm obviously disappointed that we had Tricolor. The fact that it was fraud is no excuse. We have looked at what lessons we can learn from that and apply that across our portfolios. I will talk a little about that. We did not have First Brands. We were approached a couple of times, and we said no. We said no because our credit officers felt that there was not enough data information to support the financial projections they made. That's how credit selection is supposed to work.

Now, at this point in time, and you talk a little about vintages. Less to me a question about vintage, but two questions, one is are there circumstances either because of inflation, tariffs or changes in general economic conditions that put stress on credit performance. So, do companies find themselves stretched?

Now fraud can be isolated bad actors, or it could be economic conditions that increase the propensity towards bad acting. And then if you worry about that, you've got to consider very carefully the independence and strength of the financial controls employed within the companies.

Now as you can imagine, we consider all of these things over time. But I think what these two instances show is that we will likely be monitoring our portfolios more carefully, particularly understanding the impact of changed economic conditions on companies and looking closely at the strength and independence of financial controls. Hope that answers your question. Thanks.

Chris Cant, Autonomous

Good morning. Thanks for taking my questions. I just wanted to follow-up on the US Consumer [Bank] and then another one around sort of risks that investors are worrying about of late.

So, on the US Consumer Bank, we've had this target for a while for the business to get to a greater than 12% RoTE for next year. I appreciate that quite a few things have changed over the last 18 months to two years since you gave that guidance, in terms of the American Airlines book now expecting to move off and so on.

Given where we've got to with Q3 in terms of the returns, could you give us a bit more colour as to what return you expect that segment to be delivering in 2026, obviously greater than 12% is open-ended. That would be helpful, I think, to sort of realign consensus expectations on that division a little bit.

And then the other topic I wanted to throw out there beyond private credit was stablecoins. There's been some nervousness over the summer months from some investors around what threat stablecoin issuance creates for the banking system. I guess more so on the other side of the pond, given that's where most of these innovations are being deployed first. So, I just wanted to invite you to comment, Venkat, in terms of how you think that potentially shapes up for the business longer term. Thank you.

Anna Cross

Thanks, Chris. I'll start on US Consumer Bank and then I'll hand to Venkat. In terms of US Consumer Bank, it's exactly where we expected it would be, and we continue to target that RoTE of greater than 12%. Clearly, 2026 statutory RoTE will be impacted by the gain on sale of American Airlines. It's a bit too early to guide you on that, Chris, we will do nearer the time but think on an underlying basis that we are aiming to achieve the kind of progress that we set out for you in the targets that we set.

Beyond 2026, we remain committed to pushing this business further and you can see that with the momentum that's coming through now, and we'd expect to continue around income, around operational costs also. So, we've got many levers that we can continue to pull, and we really think this should be a mid-teens business. Venkat?

C.S. Venkatakrishnan

Yes. Look, stablecoins, it's a broad and fascinating subject, Chris, so thanks for the question. I'll try to confine my answer, though. There are a couple of dimensions of it. One is, what does it do to deposits? Second is, how much does it represent an alternative form of payment? And third is, is it an alternative form of payment on an alternative network?

I think the deposit question for the big banks is something which the banks will have to consider along with our regulators, because the real question is, is this something that sits outside the deposit system, or is it brought within the deposit system? And it's a very critical question to answer, because it relates to the transmission of monetary policy.

The second thing is, as a store of value, and the form of deposit that it takes, the initial use cases seem to be more promising in developing countries, so where people might use it as a dollar substitute for their local currency. Less clear in case within US or the UK or even Europe.

The third thing is, even if you accepted the first two, is there a separate network upon which this can travel? I can tell you what Barclays' approach is. We think any of these are possibilities. It's a very promising and broad-reaching technology. Will it ultimately work? I don't know, but we've got to investigate it and be part of it.

So, you might have seen announcements that we are part of consortia with other banks, and obviously no one bank can act alone. We are studying the technology, and I think it will take some time to know clearly, and with some confidence, what exactly the use cases could be and how valuable they are. But it's important enough that you've got to study it carefully.

Anna Cross

Thank you very much, Chris. Can we have the next question, please?

Rob Noble, Deutsche Bank

Good morning. Thanks for taking my questions. Just on private credit again, could you help us with the economics of how that business works? So what spread are you making on the business, the risk weights? I presume it's been growing very quickly. Are you worried that if the Bank of England, I mean regardless of how confident and low risk your particular book is, are you worried that if the Bank of England is looking into it, it's going to deter you from further growth in that area?

And then in Kensington in the UK, I see you've doubled the book, so that makes around £4 billion now, if I'm not mistaken. Do you have any desire to go into any other areas of specialised lending in the UK? Thanks.

C.S. Venkatakrishnan

Right. Let me take the first one, Rob, and then Anna will cover Kensington. So, we have a disclosure slide, slide 43 in our [Q325 Results Presentation] on private credit. What I would say is that the exposure is growing in a sort of relatively stable manner and has been for us for a while. I'm not going to get into RWAs and spreads.

I think we've been very clear about the strong credit controls we put on this and the types of people we work with. To reiterate, we work with the most experienced, well-regarded, top-notch, top players in the industry. We provide financing generally against pools of loans, of credits which they originate on a secured basis. Those portfolios are diversified.

We have limits on borrower concentration and sector concentrations. We are skewed towards large-cap corporates. We require lower LTVs so that we can get better first-class protection, and we've got some statistics there, and we retain revaluation rights, which means mark-to-market rights on the portfolio and enforce the maintenance of LTVs, and collateral additions require our individual approval. So, it's a risk management process and practice.

I think it's important that regulators examine all aspects of the financial system. We welcome the review by the Bank of England, and as I said, that we've got strong risk management practices. So, we're comfortable and confident in that.

Anna Cross

Thanks, Venkat. Rob, on your question on Kensington, the balances are around £4 billion in Kensington. Just to sort of highlight how we think about this business, I mean, it's no different actually in risk management terms, to the way Venkat's just described private credit or indeed any kind of credit.

So, we're very focused on the choice of customers, so Kensington has 30 years of experience of really focused client and product level affordability assessments. And then once the balances are on our balance sheet then we do manage them actively and that was one of the capabilities that we drew from Kensington.

So, you might have noticed that in Q3, we actually did a Stage 3 securitisation from there. So, it is quite a sophisticated risk capability, and it is contributing not only to the breadth of mortgage offering but also to the blended margin. But thank you for the question. Next question, please.

Nicolas Payen, Kepler Cheuvreux

Good morning, thanks for taking my question. I have two please. The first one would be on your UK RWA deployment. I think you have deployed the circa £1 billion of RWA during Q3 and it seems to me that the run rate was actually closer to £2 billion per quarter. So especially in the context where you had a good lending performance in Q3. So, just wanted to discuss how we should think about it and whether or not we should have a catch-up in UK RWA deployment a bit later.

And then the second one is just to follow-up on the mortgage headwinds coming from the maturity of the mortgage, on the return during COVID. So, what kind of headwinds are you expecting and for how long should we expect this? Thank you very much.

Anna Cross

Thank you very much. So, we've got a £30 billion RWA target, we deployed £18 billion so far, £11 million of that is organic. It's interesting because when we set out these targets, the RWA growth in the UK is really a shorthand for our desire to lend into the UK.

And actually what you find is that in some quarters, RWAs grow faster than lending and that's what we saw earlier in the year and actually in this quarter lending grew faster than RWAs. It's actually the lending that we're really focused on internally, it's the lending, not the RWAs that we generate income from.

And we're really pleased with the progress. It's our highest quarter of net lending in mortgages since 2021 and we've now got four consecutive quarters of lending in our corporate book. So, we're happy with the progress, nothing really to call out it's just timing differences between RWAs and loans.

In terms of mortgage headwinds and look our churn effects on our book have been broadly stable, neutral for some time, all we're calling out here is there will be a period of pressure. Actually, overall, we expect the product margin impact on BUK as a whole, taking all products into account will be broadly neutral into Q4. So, expect that number to be broadly zero in the NIM walk. But it's really towards the end of 2020 and the first quarter of 2021, there was a Stamp Duty holiday in the UK, and a lot of business was written. That's going to mature. It will compress margins a little as that business flips over onto front book.

I'm not going to call out a particular spread that will be different by lender and different by product. But it's just something for you to consider. And as I say, we've already taken it into account in the guidance that we've given you. But thank you for the questions. Next question, please.

Jonathan Pierce, Jefferies

Hello, there. I've got two questions, actually. The first is on what we're going to get for the year with regard to these 2027-2028 targets. I'm not after the numbers, of course, unless you want to give them to us. But the sort of detail, I'm assuming it's probably not another hundred slide presentation like we got last February. But I'm assuming we will get RoTE targets for 2028

distribution amounts and mix, maybe even [CET1 ratio] targets, these sorts of things. So just to give us an idea of what we should be expecting qualitatively ahead of February would be helpful.

Secondly, maybe I can try and pre-empt one little piece of that, though, which is on the structural hedge. The weighted average life has moved out now to three and a half years. When we think about the size of maturities coming through in 2027-2028, should we be thinking therefore, we've been getting recently to £35 billion a year or will it hold up at £50 billion for a little longer? And maybe I can invite you to give us the maturity yield in 2028 itself, if that's possible. Thank you.

Anna Cross

Okay. Thank you, Jonathan. I will take both of those. So, we have said that we will give you updated targets in FY25, so in February. We've also said that Venkat and I will do that together. So, you should hopefully read from that, that it won't be quite such a long update as it was last time. But we will be focused on 2026, 2027 and 2028.

So, what should you expect? We were really clear at the time that greater than 12% RoTE was not an end point. And that was true of every target that we gave you. That remains true, so you should expect us to come back with details on how we expect to push RoTE higher, not just as a Group, but specifically in some business areas also. There's a pattern of delivery that you should be seeing that you should continue to expect, which is higher levels of revenue, but particularly focused on the stability and predictability of that revenue.

Secondly, that we'll continue to push gross efficiency savings to create capacity and costs for investments. And thirdly, that we will continue to be very disciplined in capital. So more on the 10th of February, but that's the trailer, if you like.

In terms of the structural hedge, just back to this point around predictability. The reason that we've extended the duration is because we see greater stability in deposits. So, it's a response to that. What that will naturally do is slightly lower the level of maturities as you go out a little bit further. We haven't yet given a maturing yield for 2028. We will do that in February.

We have given you 2027 [maturing yield]. That is 2.1%. So, you've got 1.5% in 2025 and 2026, then 2.1% in 2027. And really what's happening here is because we are extending that, clearly, we have a mix of maturities within that maturing yield or a mix of tenors within that maturing yield. And there is a portion of seven year in there that is really holding down that maturing yield as we go a little bit further out. So hopefully that gives you some things to work on and we'll come back to it in February. Thanks, Jonathan. Next question, please.

Amit Goel, Mediobanca

Hi, thank you for taking my questions. So, two follow-up questions, actually. One, just coming back in terms of the strategy update or new targets for 2028 that we get with full year [results]. I'm just kind of curious how you're going through that process and are you thinking about kind of things like revising capital allocation to the businesses, things like that? Or is it more about efficiency and driving more out of the business with the kind of path already set?

And then secondly, just on the USCB, I think you remarked earlier that for the next couple of quarters, so Q4, Q1, you'd anticipate a kind of a flattish NIM on what we've just seen, the 11.5%. I'm just kind of curious, given the factors that you outlined before in terms of improvement, why that would be flat and why that wouldn't continue to show a bit of growth in the coming periods. Thank you.

C.S. Venkatakrishnan

Hey Amit, thanks. Good questions. I'll take the first one and Anna will take second one. So you should see the way we're thinking about the strategy is actually what you said in the second half of your statement, which is we're happy with the business footprint, intensification of the aspects which Anna just referred to, top line revenue, efficiency, depth and breadth of product reach. And so basically getting more out of each of the businesses and getting more out of the collective. So, see a continuation and intensification of what we've done.

Anna Cross

And Amit, on your second question, I mean, I wouldn't really add anything. There is a degree of seasonality to the business. I mean, NIM, we do see as many of those effects, having flowed through largely already. Typically, we see slightly lower levels of retail funding as we go into the full year, just because balance has grown. We tend to use a bit more of the broker deposits. So that does have a little bit of an impact on NIM.

But nothing really to call out. Just assume it's broadly flat, really, over the next couple of quarters. And as I say, it is going to pop up again from Q2 onwards. But we'll tell you a little bit more about that.

Okay. Thank you for that, Amit. Next question, please.

Perlie Mong, Bank of America

Good morning. Just a couple of questions. First on distribution. So, I think it's very welcome to see a buyback this quarter and moving to quarterly distributions. Can you just tell us how you thought about it? Why did you decide to go to quarterly cadence? And in terms of going forward, is there a sort of monthly rolling number that you are thinking about? And within the wider distribution context, now that [your shares are trading closer to 1x] price to book, are you thinking about maybe [doing a different mix of distributions, including more dividends?]. So that's number one.

Number two is on cost. You highlighted that you've achieved your efficiency savings one quarter earlier than expected. But also, for next quarter, you would expect to run towards the top end of the £200 to £300m SCAs, if you like. So is that something that you would expect to run at that level in 2026? And as part of the strategy update, I think last time we did it, I think there was maybe £900 million or £1 billion SCAs up front as well. Is that something that you are thinking about as well?

Anna Cross

Thanks, Perlie. Let me take both of those. So the buyback decision, really what that reflects is our confidence in the consistency of generation of capital, and it's just a clear articulation of the capital priorities that we gave you at the outset of the plan, which were number one, you should expect us to be well capitalised as a regulatory matter. Number two, returning capital to shareholders, and number three, investing in the businesses. So, as we reflected over the last few quarters, we've seen the strength and quality and resilience of that capital generation, this is something that we've been thinking about.

So, what we've done is we've accelerated a portion that we would otherwise have paid at the full year, and that's really our desire to put it in the hands of shareholders. So, nothing more significant than that. In terms of the go forward plan, in terms of balance, cadence, et cetera, we will cover that with you in February when we give you those target updates.

In terms of costs. So, our primary objective here is to continue to drive efficiencies. That's what we're doing, and our structural cost actions play a really key role in driving that forward. But there's no real change here at all, and in fact, given the delivery of [our FY25 gross efficiencies target] a quarter early, and given we've got such momentum in our NII, had it not been for motor finance, I would have been expecting today to upgrade the cost to income ratio to around 60%.

As it is, given that progress, we've been able to absorb motor finance and reiterate our 61% guidance to you.

I still expect next year to be in the high-50s. Typically, in any year, we spend between £200 million and £300 million [on SCAs]. That's what we're guiding you to this year. We're just calling out it might be towards the top end of that, but again, that is all encapsulated within the guidance that we've given you of circa 61% for this year. There's no real change to anything that we are saying in terms of costs. But thank you for the question. Perhaps we could go to the next question, please.

Alvaro Serrano, Morgan Stanley

Hi, thanks for taking my question. I guess there are two follow-ups. I apologise for another one on private credit. As you look at what went wrong in Tricolor and you've reviewed the rest of the book, are you satisfied that the collateral integrity is there, and can you reassure us? And when we think about this business going forward, obviously Financing has been a source of growth for a while. I think, Venkat, you may have alluded to this, but should we expect that growth to slow down from that 20% run rate that you've been doing for a while?

And the second question, I guess it's also a follow-up on USCB. To get to that 15% RoTE, Anna, that you've often quoted, do you think you've got the right scale? I'm thinking obviously in a post-American Airlines world. Or would you expect more Joint Ventures, more contract wins, and how's the pipeline looking on any further wins? I haven't seen sort of chunky ones. Obviously, you've had General Motors, but that's been announced a while ago. So maybe some comments on the pipeline on wins on there. Thank you.

C.S. Venkatakrishnan

Hey, thanks, Alvaro. Let me start with the first one. So, about the review that we took, it's along the three dimensions which I said to you. One is the company is being financially stretched. The second part is strength of financial controls in the company and independence of financial controls.

I also want to be very clear, there's sort of broad financing, there's private credit. The slide we've given you is on private credit. And on our pattern of growth, it's been relatively stable, growing a little bit, growing slowly. And I would always say on these things, on lending, it is a case-by-case decision.

We will look at loans and we will decide. We tend not to grow these books that aggressively and as you also know, I think that we tend to employ over the cycle, risk transfer transactions, and we've been doing so for a decade. So that's been our broad approach to both risk management, to credit risk management, and to the overall portfolio.

And then the second part of your question on private credit was basically for Anna, so I'll pass it over.

Anna Cross

Yes, sure. So, your question references the mid-teens sort of aspiration we have for this business. I mean, a large part of that is in our hands now, and you can see the progress that we're making around efficiency. We targeted mid-40s cost to income ratio. We're already at 43%, so expect us to push on. You can see the progress in the NIM. So, all of those things are within our control.

We do want to grow the book. We will never do so at the expense of RoTE, and we have seen opportunities to do it organically, as I said, and inorganically. So, for example, through General Motors. As you can imagine, we look at portfolios all the time, and we assess those as to whether or not they are RoTE generative, both for USCB and in the context of the Group.

The nature of this business is that it is always a balance of those two things. It's always a balance of leaning into the partners that we've already got and expanding those, which we've got good experience of, but also acquiring new capabilities and partners as we go.

So, I'll hand to Venkat.

C.S. Venkatakrishnan

Yes, sorry. There was one part I didn't answer, Alvaro. You asked me about the review that we did and what we found. So, we reviewed it in the way I just said, looking at companies and looking at controls. We're satisfied with what we've seen so far in our portfolio, what we've seen in the review we've conducted. Obviously, you're going to have to remain vigilant, which we would have done anyway, but we'll be vigilant going forward.

Anna Cross

Thank you Alvaro. Can we have the next question please?

Chris Hallam, Goldman Sachs

Hi, good morning. Thank you for taking my questions. A couple of follow-ups. Venkat, back on NBF, sorry, Venkat, you mentioned the importance of initial qualification and continuous monitoring. And I guess in light of recent events that review that you're running through in that book and just triple checking everything. How far through that review are you or have you fully completed that review? Maybe I missed that in your earlier comments. Sorry if I did.

And then second on the Investment Bank, and it's a bit of a follow-up to Jason's question earlier in the call, I guess this is a pretty difficult regulatory backdrop against which to set a three-year plan. You mentioned that we're yet to see what the US will do and the degree of alignment the UK will settle at. So, should we think that the 2028 Investment Bank business plan is going to be sort of caveated that it's regulatory dependent? Or do you think that the balance of outcomes on deregulation and your earlier point on capital versus balance sheet headroom means that you have and will sustain a plan for all seasons?

C.S. Venkatakrishnan

Yes, thanks Chris, I'll let Anna take the second question.

On the first one, the review is completed. As I said, I'm satisfied with what we saw, but we're going to have to continue to be vigilant and that's always been the case.

Anna Cross

And Chris, just on your second question, I mean you're right, there is a degree of regulatory uncertainty out there and clearly what we would want to have is consistency of regulation both in its approach and its implementation date across all three jurisdictions, so Europe, UK and US. So that is difficult from a timing perspective in terms of planning.

But more holistically than that, the plans and the strategy that we have for the Investment Bank, Venkat's referred to it before as running our own race and we remain extremely focused on doing that, obviously mindful of the competitive environment also.

But our objective here is and will remain to drive higher returns in the Investment Bank, more consistent returns and that's really about focusing on the stability of income, both stable sources of income like the International Corporate Bank, like Financing, but also stabilising the Intermediation and Fees parts of the business. There's a really important piece here around costs

and efficiency and technology-led efficiency. So what you've seen over the last few quarters, we've had six quarters of consecutive positive jaws in this business.

And then the third piece is just this continued driving capital efficiency. We think we've got ways to go, you've seen again six consecutive quarters of year-over-year improvement, but there's more there for us to do. So, I think it's really important that we focus on the things that we can control and then navigate the regulatory environment as it emerges, and we are well used to doing that. We've seen divergences before, we continue to see them and we'll deal with it when we have the facts in front of us.

Thank you for the questions. Next question please.

Andy Coombs, Citigroup

Good morning. Two questions please. Firstly, if I could just follow-up on the Investment Bank, obviously you had a very strong first half of the year. Q3 has perhaps slightly lagged the growth seen at the US peers. Can you explain how much you think that's just a mix effect, is it a mix effect by business segment, by region, across Equities and across primary. Or are there any gaps that you're still looking to infill there?

And then the second question, broader question on the UK, you've obviously seen strong mortgage and corporate loan growth in Q3, but can you perhaps touch upon customer behavior and activity going into the November budget? Thank you.

C.S. Venkatakrishnan

Hey Andy, thanks. Let me begin with the Investment Bank and then I will pass over to Anna on the UK.

As I've told you, I take a long view of this. We are running our own race, we set out targets, we put in an RWA target for the Investment Bank, which was to keep it flat, and we've kept it flat. We also instituted RWA discipline, which Anna just spoke about. And then we had both revenue targets, cost efficiency targets, and overall return targets, profitability targets, all of which we've been meeting.

We also put in within that certain areas of focus within Markets and Banking. In Markets, it was European rates, it was Securitised Products, it was Equities, particularly Equity Derivatives. In Banking, it was certain sectors, healthcare and tech, and then it was M&A and ECM.

Now, over this long period, we have shown strong progress in all these dimensions. Even if you look at something like Equity Derivatives, we've been growing a couple of percent over this year, less than what the US peers have this quarter. Quarter-to-quarter, there will be variations. Some of that variation is about the amount of capital and balance sheet some of the competitors allocate overtime. Some of that variation is geographical concentration. So, Asia has been strong. We've always been very clear that we have a solid Asian presence, but it's not as deep and broad as others have. There are times when commodities plays a role, there's times when credit plays a role, and that's generally good for us.

So, I would view what you've seen in this quarter's results as that kind of normal quarter-on-quarter variation. I don't think when I look at the plans of the Investment Bank, what we've had, what we intend to do, that there are sort of gaps or holes we need to fill. I think we continue to build on technology, continue to build on product sophistication, continue to build on client reach, and we will show the returns that we've set out to, and we've displayed over the last seven quarters.

Anna Cross

Thanks, Venkat. Andy, here's how I think about the UK landscape. So, I think about it first in how are consumers spending? What does the demand for credit look like? And then thirdly, how is that credit performing? And if you look through these lenses, then you get a pretty good view.

So, I mean, UK consumer behavior is slightly cautious, but we continue to see signs of improvement. So, credit spend is higher than debit spend. We've seen a slight increase in non-essential spending, and confidence metrics have grown slightly. So, so far so good.

And we also see that flowing into, for example, the demand for credit, and you can see that in terms of our UK momentum. The demand for mortgage credit is good, and as I said that's not just refinancing. So, in a very cautious environment, you see less house purchase.

But what we see is house purchase growth, first-time buyer growth, and also refinancing demand. There's good demand from cards, as you can see, and actually the thing we talk about less is demand from corporates, and you can see really good lending in our corporate book. That is coming broadly half and half from existing clients and new clients.

We've originated more than 400 new clients this year. That's on top of the 550 that we did last year, and our lending market share is up 70 bps. So, we don't see a lack of demand for credit at a macro level. So, if we're looking for points that were slightly more hesitant, we would say we see a little bit of hesitancy in mid-corporate, but generally speaking, good demand for credit.

And then finally, credit performance is good. We see that in mortgages. We see it in cards. I mean, UK cards delinquencies are extremely low, and I would say across all of the portfolios are low and stable and exactly as we would have expected them to be. And the same is true of corporates. There are no significant single names in our corporate book. So, the UK landscape remains pretty robust.

Thank you Andy for your questions. Can we have the next question, please?

Ben Toms, RBC

Good morning, both. Thank you for taking my questions. The first is in relation to a European bank peer whose shares suffered this week in relation to losing a US litigation case that was underpinned by the fact that the bank provided finance to a sanctioned nation.

I think that Barclays settled with the US regulations in 2010 in respect to providing finance to a sanctioned nation. Can you provide any comfort for us why we shouldn't add this to a potential litigation risk for Barclays in the future?

And then secondly, in Private Banking and Wealth Management, the AUM and AUS grew pretty quickly in the quarter. To what extent do you expect this organic growth trend to continue over the next 12 months? Thank you.

Anna Cross

In terms of the first point, there's nothing of which I would call out, Ben. We can follow up with you with a bit more detail about the historic cases, but nothing I would call out.

On your second point, we continue to make good progress with the Private Bank, another £0.7 billion of net new [AUM] in the quarter, so we're pleased with its progress and obviously its RoTE remains above its target level, which was greater than 25%, so pretty robust.

Obviously, the opportunity for that business, we believe, really comes in the future as we start to access the sort of Mass Affluent and Wealth Markets, so probably more to come on that. I wouldn't call out anything specific now, but again, thank you for the questions.

Perhaps we could have the next question, which I believe is our last question.

Ed Firth, KBW

Thanks very much. Good morning, everybody. I just had a question on your 2026 targets, actually, because if I look across the piece, I mean, you're pretty much nailing every one and some by some margin, but I guess the one that stands out is the Investment Bank RWAs, which I can see you've reiterated today at 50%, which is still quite a long way from where we are today.

And I'm just thinking that in terms of the returns, they are significantly below the other divisions. And I would hazard that the cost of equity is higher as well, and I guess that's probably the division which is the reason for you trading where you do. So, I do think that 50% is quite an important target, particularly in terms of a statement of intent and where we see it going from there. But I don't really see how you're going to get there.

And so can you give us sort of some flavor are we talking about a big reduction in Investment Bank RWAs? Is it some sort of risk transfer you're going to do? Or are we looking at much bigger growth somewhere that I'm not thinking about? Because you're talking about more than a 10% swing there. Thanks very much.

Anna Cross

Okay, Ed, why don't I start and then I'll hand to Venkat. So just in terms of the 50%, remember, when we wrote that, we were in a very different environment in terms of regulatory timing. So, there are two things that are under our control and one that isn't. The first is holding the Investment Bank RWAs flat. We've actually done that for more than three and a half years now. It's not just part of this strategy, it was there before.

Secondly, continuing through in the UK and you can see the progress. The thing that I can't control is the implementation date of the IRB model or indeed, some of the Basel implementation effects. But the strategic intent that sits underneath that 50% remains the same, Ed, but there's regulatory timing that I can't control.

As to your point on returns, I mean, we were really clear that the returns of the Investment Bank were not where they needed to be, but you can see that we're making progress. Just to call it out, it's 12.9% year-to-date, much more in line with the Group versus 10.1% last year. So, we are making good progress, but I'll hand to Venkat for more comments.

C.S. Venkatakrishnan

Yes, look, I'll say exactly that. We were very, very clear at the start of our strategy that we were going to hold the Investment Bank RWAs flat. And the reasoning behind that was we felt and we feel we've got a very strong, capable full Investment Bank, and that at those levels of RWA, with greater RWA efficiency, which we've demonstrated, can be very competitive. And we've shown our competitiveness over the long time, over this period.

What we said also was that the percentage is an outcome, as Anna just described, which is based on not just holding it flat, but growing in the UK, and then assumptions about capital calculations for the rest of our book, particularly US Cards. The first two we control, holding the Investment Bank RWAs flat, and then what we've been doing in the UK, where we've been showing the growth, which we said we would. The third part we cannot control, and that affects the percentage. And if you go beyond that. The flat is exactly the important point.

And as Anna said, on RoTE, it's again been behaving exactly the way we would want, it's a returns focused business. And it is approaching, and in some instances, if you look at the time periods of the past, the Group average. So exactly what was outlined, exactly what has been delivered, the promise is kept. Thank you very much, everybody.

Anna Cross

Thank you. Thank you, everybody. Thank you, Ed, for that question. We will see you on the road from tomorrow, and we are looking forward to an analyst lunch as opposed to an analyst breakfast next Tuesday. So, I hope to see you all soon, and thank you for your continued interest in Barclays. Thank you.

C.S. Venkatakrishnan

Thank you.

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